2027 private-fund commitment budget

To the Investment Committee. From Caitlin Hill, Director of Private Markets; copy Daniel Marshall, Chief Investment Officer. 16 March 2027.

Recommendation. Approve a 2027 budget of no more than USD 250 million, not the USD 500 million in Corrigan Hart's draft. At USD 500 million the liquidity policy's test fails: in the policy's stress the reserve of USD 2,137.4 million less net cash needs of USD 1,060.7 million over 2027 and 2028 leaves USD 1,076.7 million, USD 123.3 million below the USD 1,200 million minimum. The largest budget that passes is USD 268.6 million before the policy's USD 25 million steps; the methods I could defend put it between USD 175 and 350 million.

What the draft's pacing does not see. Three things in our own records decide the number, and missing any one of them puts the budget well outside that range.

Capital already invested and not yet called. Our managers had USD 237.7 million invested on their funds' subscription lines at 31 December, rebuilt fund by fund from their portfolio activity, the capital we were called for and the borrowings in each fund's audited accounts, after the proceeds they recycle. The stress puts short rates at 5.25 per cent, past every manager's limit for carrying a line, and as in 2022 and 2023 they clean the lines down: it is called in the first quarter.

Defensive follow-ons. When exits run below normal our buyout, growth and venture managers put more into companies they have held two years or more, two quarters later, while new deals slow. Fitted on 2020 and 2022 to 2024, that adds USD 212.8 million of calls over the eight quarters on the stress path.

First closes slip. Our register shows first closes slipping about 0.61 quarters for each 10 points the exit index sat below 100 in the quarter before. The four funds still to close (USD 667 million) close in 2028, not in the second half of 2027, and call USD 148.9 million in the eight quarters rather than USD 256.1 million.

Calls and distributions on the commitments made by 31 December 2026.

USD m	H1 2027	H2 2027	H1 2028	H2 2028
Calls, funds that have held a first close	517.0	211.7	222.0	172.6
Calls, funds yet to hold a first close	0.0	0.0	63.7	85.2
Distributions (policy rates)	402.8	280.2	169.5	198.4

Distributions follow the policy's 2008 to 2010 benchmark rates on each fund's 31 December value. The commitments not yet called at 31 December total USD 4,191.1 million. A USD 250 million budget leaves USD 9.9 million above the minimum. The workbook carries the test, the fund-by-fund line stock, the fitted inputs and the sensitivities.